INTRODUCTION

Earlier lessons introduced the balance sheet of corporate issuers, composed of assets financed by liabilities (including debt) and equity. This learning module covers the analysis of *short-term* assets and liabilities, those that result in cash inflows or outflows within a year. The behavior of these assets and liabilities is primarily determined by an issuer's payment and delivery terms with its customers and suppliers. Subsequent modules cover issuers' *long-term* assets, liabilities, and equity financing. Short-term assets and liabilities are a key determinant of an issuer's ability to generate cash flows for investors, and mismatches between the timing and liquidity of assets and liabilities can have catastrophic effects on a firm. For these reasons and others, analysts closely scrutinize issuers' cash conversion and liquidity.

Category
Working Capital and Liquidity

Learning Module Overview

- Issuers invest cash to generate revenues and profits. The cash conversion cycle is the length of time from paying suppliers to collecting cash from customers.
- The cash conversion cycle is measured as the sum of days of inventory on hand and days sales outstanding, less days payable outstanding. A short cash conversion cycle means that an issuer converts an investment in inventory into cash quickly, while a long cash conversion cycle means that an issuer converts its inventory investments into cash slowly.
- Collecting cash from customers sooner, delaying payments to suppliers, and reducing inventory levels relative to sales improve an issuer's cash conversion cycle.
- Working capital is defined as an issuer's short-term assets minus its short-term liabilities. Net working capital adjusts for non-operating accounts such as cash, marketable securities, and short-term debt. The ratio of net working capital to sales is closely related to an issuer's cash conversion cycle a long cash conversion cycle is associated with higher net working capital to sales, while a short cash conversion cycle is associated with lower net working capital to sales.
- An issuer's liquidity is primarily determined by the relative amounts and liquidity of its short-term assets and liabilities, which are determined by the issuer's business model. The long-run primary source of liquidity for most issuers is cash flow from operations. Secondary sources of liquidity are typically used in crises and impose significant costs, such as issuing equity, renegotiating contracts, selling assets, and filing for bankruptcy protection.
- Drags and pulls on liquidity affect an issuer's liquidity situation. Drags on liquidity reduce cash inflows and include such issues as uncollectible receivables and obsolete inventory. Pulls on liquidity are accelerations in cash outflows or interruptions in credit.
- Issuers may adopt a conservative, moderate, or aggressive approach to working capital management, and these approaches differ in the amount of working capital held on the balance sheet as well as in their reliance on external financing and the composition of short- and long-term financing.

Learning Module Self-Assessment

understanding of this learning module.

1. Which of the following actions or events will most likely decrease an issuer's cash conversion cycle?

A. Buying short-term marketable securities using cash on hand
B. Offering customers a discount for payment received within 10 days
C. Slowing of sales of certain goods due to changing preferences in styles

Hide Solution

Solution:

B is correct. A prompt-payment discount would likely reduce days sales outstanding and, in turn, decrease the issuer's cash conversion cycle.

A is incorrect, because increasing marketable securities by reducing cash does not affect the issuer's cash conversion cycle.

C is incorrect, because the slowing of sales of certain goods would likely increase days of inventory on hand and, in turn, increase the issuer's cash conversion cycle.

2. Which of the following actions will most likely increase an issuer's liquidity?

A. Forgoing a supplier's discount for prompt payments
B. Relaxing terms for customers by lengthening the payment period
C. Purchasing short-term marketable securities with cash on hand

Hide Solution

Solution:

A is correct. Forgoing the discount is using the supplier's financing and will result in the issuer stretching out payments on accounts payable, putting less drain on liquidity in the short run. This action increases the issuer's cash conversion cycle.

B is incorrect, because by relaxing credit terms, customers will take longer to pay, so this action increases the cash conversion cycle.

C is incorrect, because marketable securities are generally *less* liquid than cash, so this action would reduce liquidity. Even if the marketable securities are as liquid as cash (e.g., short-term Treasuries), this action would not materially affect liquidity.

3. The Plough Corporation reports the following items on its two most recent balance sheets (in millions)

	Fiscal Year-End	
	31 December 20X2	**31 December 20X1**
Cash	10	15
Short-term marketable securities	20	15
Accounts receivable	100	80
Inventory	200	150
Prepaid expenses	5	5
Accounts payable	100	120
Accrued expenses	50	60

Based on the cash ratio, the company has:

A. become less liquid.
B. become more liquid.
C. not changed regarding liquidity.

B is correct. The cash ratios for the two fiscal year-ends are:

$$Cash\ ratio,\ 20X1 = \frac{15+15}{120+60} = \frac{30}{180} = 0.1667$$

$$Cash\ ratio,\ 20X2 = \frac{10+20}{100+50} = \frac{30}{150} = 0.20$$

The cash ratio has increased from 0.1667 to 0.20, indicating an increase in liquidity.

4. Which of the following events or activities is most likely to be a drag on liquidity?

A. Inventory that becomes obsolete
B. Making payments to suppliers earlier
C. Offering a discount to customers who pay within 10 days

Hide Solution

Solution:

A is correct. As inventory becomes obsolete, it becomes more challenging to sell and inventory levels increase. This event is a drag on liquidity, because it slows cash flows.

B is incorrect, because making payments to suppliers earlier is a pull on liquidity.

C is incorrect, because offering a prompt-payment discount is likely to result in cash receipts sooner, which would improve liquidity.

5. Which of the following actions provides a secondary source of liquidity?

A. Issuance of equity securities
B. Collecting accounts receivable
C. Taking advantage of a supplier's financing and paying on the net day, day 40

Hide Solution

Solution:

A is correct. Primary sources of liquidity include cash on hand, borrowings, and cash flow from operations. Secondary sources of liquidity generate cash at a greater cost when primary sources are insufficient, such as issuing equity.

B is incorrect, because collection of accounts receivable is a primary source of liquidity.

C is incorrect, because supplier financing is a primary source of liquidity.

6. Classify each of the following actions as either a conservative or an aggressive approach to working capital management:

	Conservative	Aggressive
Minimize inventory levels		
Greater reliance on long-term debt and equity financing		
Lower level of short-term assets		
Greater reliance on short-term debt		

Hide Solution

Solution:

	Conservative	Aggressive
Minimize inventory levels		✓

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financing

Lower level of short-term assets ✓

Greater reliance on short-term debt ✓

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